consequential pressure on foreign exchange reserves kept India highly vulnerable. The country resisted as long as it could under the mistaken belief that maintaining the nominal international value of the rupee meant a strong rupee. However, the pressure became unbearable at a certain stage and India had to heavily devalue its currency in 1966.

This misconceived policy of maintaining the strength of the rupee by keeping its nominal value higher than the underlying real value worked to India's disadvantage. Policymakers started acting rationally only after 1991. The Indian rupee finally became fully floating by 1995, following several intermediate steps of devaluation and maintaining dual values for different types of imports over a period of three to four years. The exchange value of the rupee started getting determined in terms of demand and supply of foreign exchange.

The policy of market-determined value of the rupee helped India regain export competitiveness, neutralized the demand for imports on account of an artificially overvalued rupee and helped build foreign exchange reserves. The lesson that an artificially overvalued rupee is not really a strong rupee was learnt the hard way and at a massive cost to the public, industry and government.

Perpetuating a Sick Industry and Vacuous Jobs Does Not Create Employment

Production of goods and services, which are bought and consumed by residents, businesses, governments and foreigners, create value and income. It also creates jobs. The work done in jobs to produce goods and services is real employment.

There is no permanent way or technology to produce any particular good or service. There are many goods and services whose demand disappears or gets replaced by other goods and services. Therefore, there is no permanent work or job. Jobs created/maintained to produce any